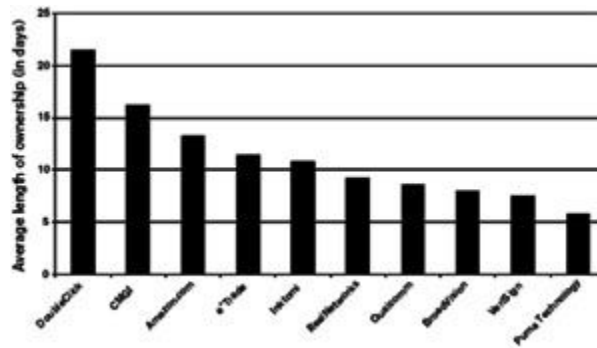




And on the NASDAQ exchange, turnover hit warp speed, as Figure 1-1 shows.⁴

In 1999, shares in Puma Technology, for instance, changed hands an average of once every 5.7 days. Despite NASDAQ's grandiose motto—"The Stock Market for the Next Hundred Years"—many of its customers could barely hold on to a stock for a hundred hours.

The Financial Video Game

Wall Street made online trading sound like an instant way to mint money: Discover Brokerage, the online arm of the venerable firm of Morgan Stanley, ran a TV commercial in which a scruffy tow-truck driver picks up a prosperous-looking executive. Spotting a photo of a tropical beachfront posted on the dashboard, the executive asks, "Vacation?" "Actually," replies the driver, "that's my home." Taken aback, the suit says, "Looks like an island." With quiet triumph, the driver answers, "Technically, it's a country."

The propaganda went further. Online trading would take no work and require no thought. A television ad from Ameritrade, the online broker, showed two housewives just back from jogging; one logs on to her computer, clicks the mouse a few times, and exults, "I think I just made about \$1,700!" In a TV commercial for the Waterhouse brokerage firm, someone asked basketball coach Phil Jackson, "You know anything about the trade?" His answer: "I'm going to make it right now." (How many games would Jackson's NBA teams have won if he had brought that philosophy to courtside? Somehow, knowing nothing about the other team,